STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

Orient Overseas (International)

HKEX: 316 · Industrials / Container shipping · Hong Kong

The highest value score in our universe, on peak-cycle earnings: a call on freight rates, not a cheap compounder

UNDERWEIGHT Case study

Price	**HK$153.30**
Target (base case)	**HK$123.92**
Upside / downside	**–19%**
Horizon	**12 months**

Price: close, 29 Oct 2026

HK$101bn
Market cap

US$4.5bn
Net cash (Jun 2026)

8.0x
Forward P/E (third-party)

5.8%
Dividend yield (trailing)

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Case study: The highest value score in our universe, on peak-cycle earnings

UNDERWEIGHT

HK$123.92

base-case value, −19% vs HK$153.30

OOIL (OOCL) had the top score of our entire universe in December 2025. The screen saw a P/E under 4x on FY2024 profit; FY2025 profit then fell 41% and H1 2026 another 24%. A 2026 war shock lifted freight rates again, but on normalised earnings the stock is not cheap. We hold the model weight floor and expect mean reversion.

1

Why the model bought it

With a six-month lag, the December 2025 score used FY2024 accounts: EBIT of US$2.6bn. FY2025 then delivered US$1.5bn. On the earnings actually being produced the stock was about 40% less cheap than the screen showed.

2

Earnings are a freight rate times a volume

Profit rose more than 60-fold from the 2019 operating base to the 2022 peak, then fell 86% in a year. A screen that buys the lowest trailing P/E in shipping buys just after peak earnings.

3

2026 was rescued by a war, not by value

The US-Iran war and Hormuz disruption pushed Asia-US rates up 109% by June 2026 and Q3 liner revenue up 45%. Fleet growth (4.6%) still runs ahead of demand (4.1%), and ships are returning to Suez.

Orient Overseas (International) at a glance

Container shipping (OOCL)

A pure-play liner: 139 vessels and 1.15m TEU of capacity at end-2025, member of the Ocean Alliance.

Trade lanes

Trans-Pacific (most US policy exposure), Asia-Europe, Trans-Atlantic and Intra-Asia (most volume).

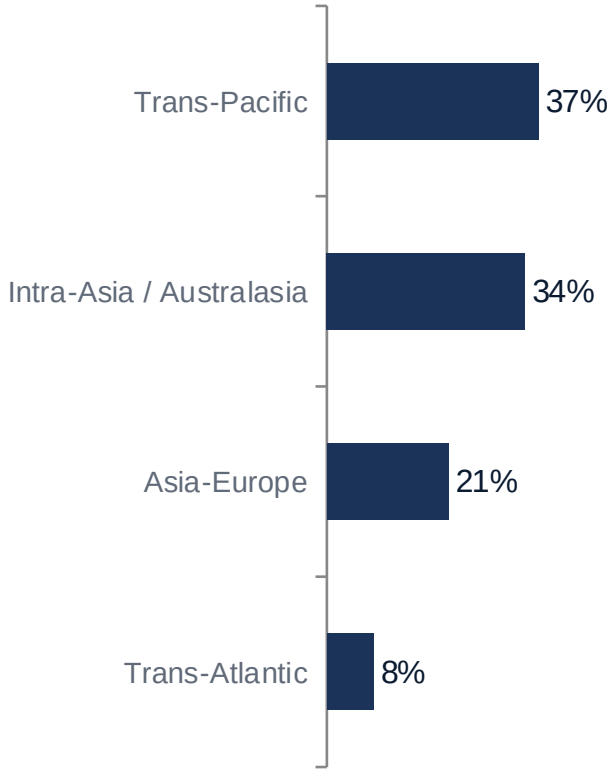
Control

COSCO Shipping holds 71.07% and Shanghai International Port Group 9.06%: the free float is about 20%.

Balance sheet

No bank debt; US$5.8bn of cash against US$1.3bn of lease liabilities at June 2026.

Liner revenue by trade lane, FY2025 (share of total)



Source: company filings; Liner revenue by trade lane, FY2025

What moves the stock beyond the company

+109% — **Freight rates**

Asia-US spot rates by early June 2026 after the Hormuz disruption (Cape routing again).

4.6% vs 4.1% — **Fleet vs demand**

2026 fleet growth ahead of demand growth: the structural pressure on rates.

10 Nov 2026 — **US port fees**

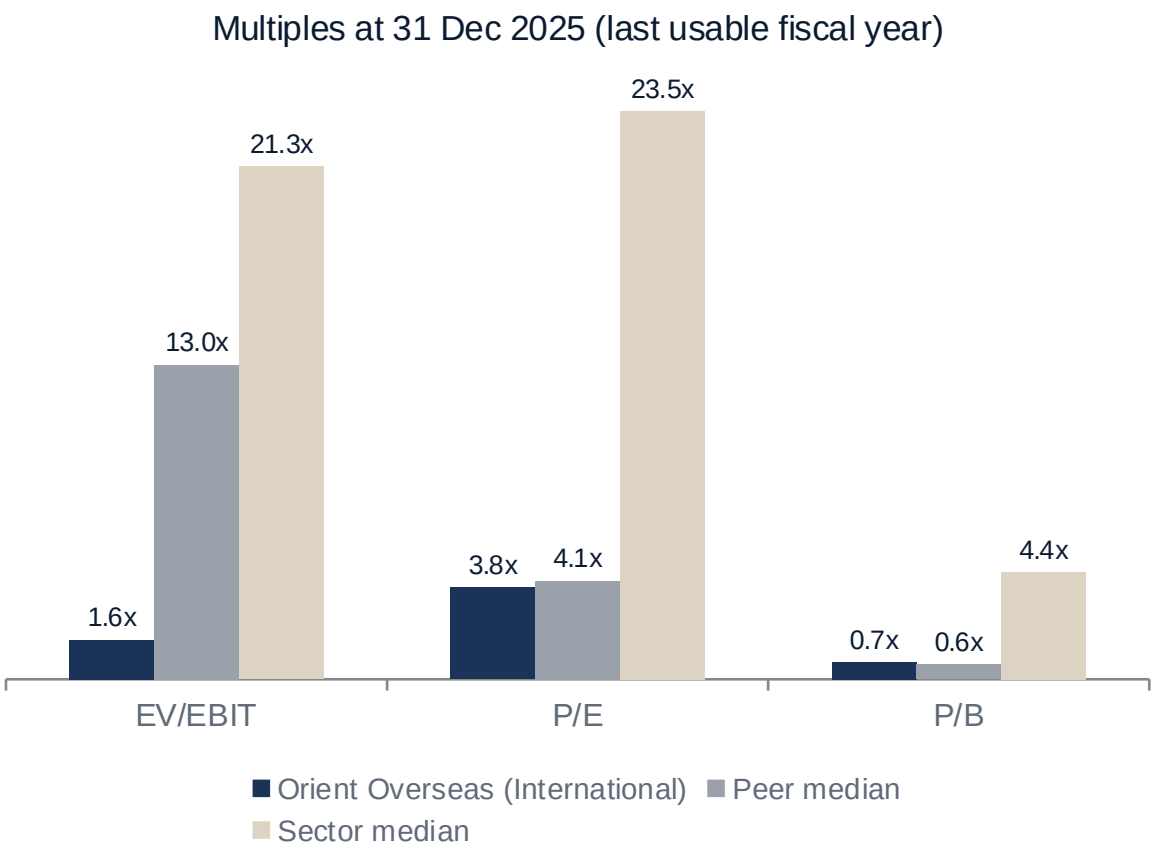
Section 301 fees on Chinese operators (US$50 per net ton) resume unless extended.

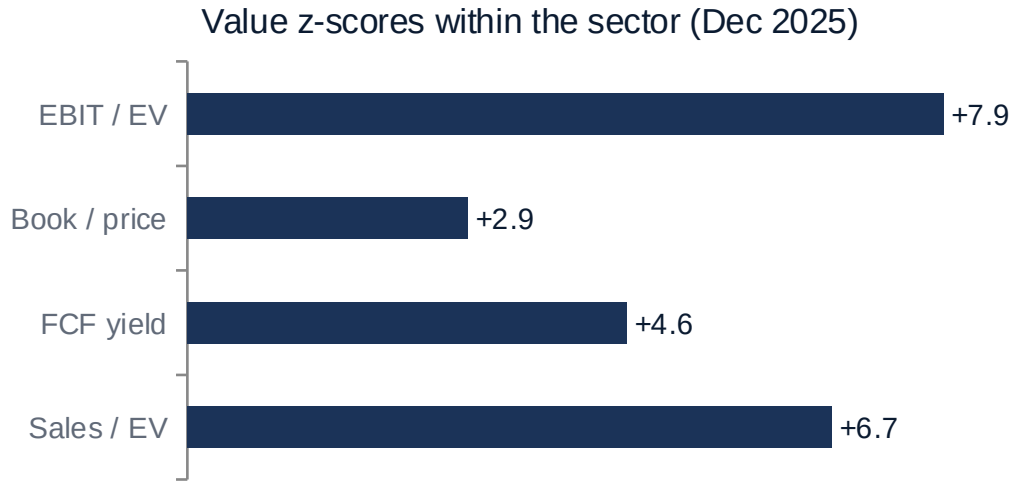
US$582/t — **Bunker fuel**

Average H1 2026 cost (+8%): the largest variable cost.

Source: company releases and research brief (see Sources slide)

Ranked 1 of 199 in Industrials on our value score

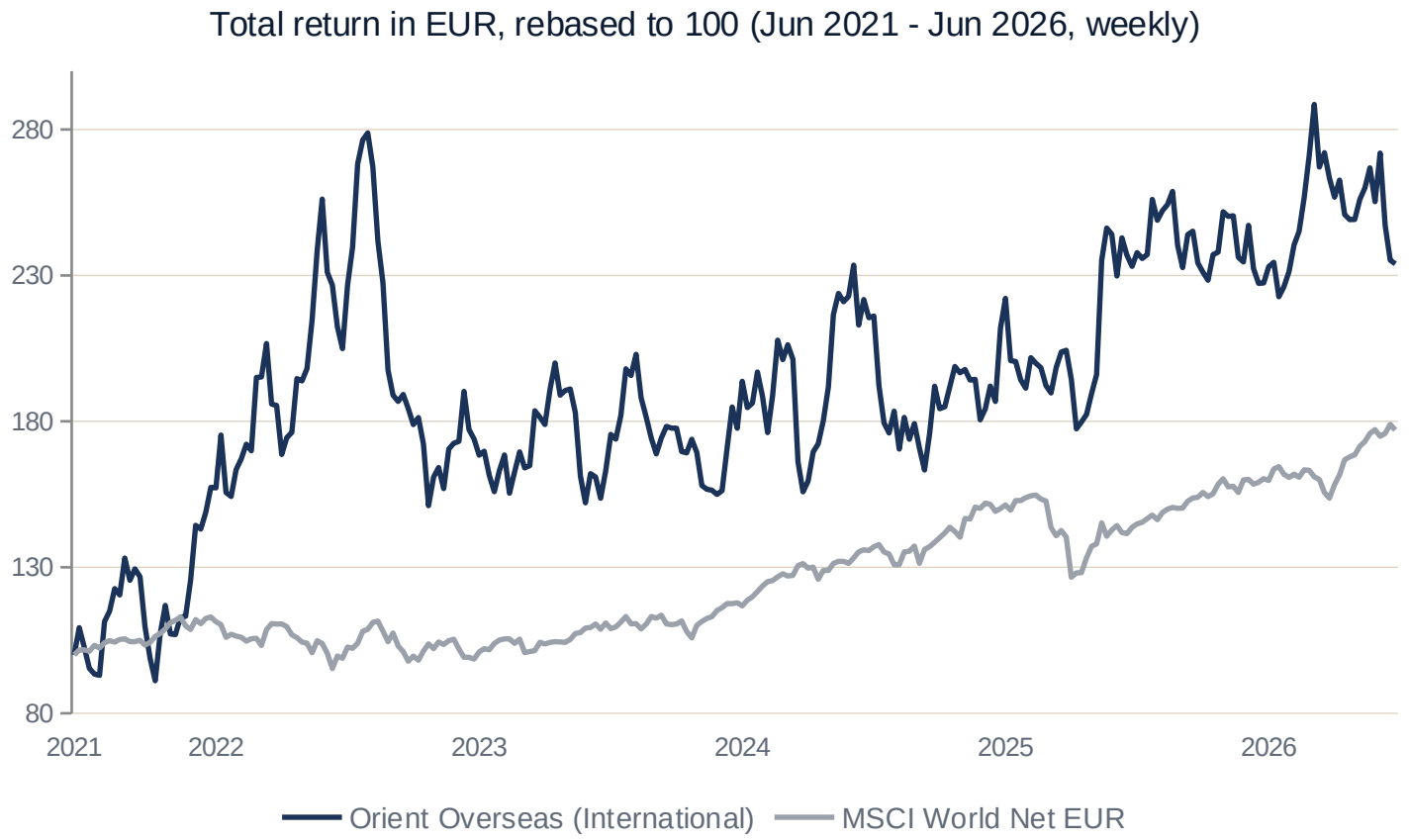




Composite score 5.54, first of 199 in its sector. The score averages the z-scores above (four ratios as yields). Accounts are used only from fiscal year end + 6 months, so in December 2025 the screen read the accounts for the fiscal year ended December 2024.

Source: Portfolio Project pipeline (Bloomberg data); peers: Maersk, NYK, Mitsui OSK, Kawasaki Kisen (pipeline peer set); COSCO Shipping, Hapag-Lloyd, Evergreen for context.

Held at 4 of 10 rebalances since December 2022



+0.4%

H1 2026 return (EUR)

+10.8%

MSCI World Net EUR, H1 2026

2.0%

Weight, equal weight

1.8% / 4.0%

Min-variance / mean-variance

Source: pipeline weekly total returns (EUR, net of withholding tax) and portfolio weights at the 31 Dec 2025 rebalance

Reported numbers and guidance

	FY2024	FY2025	H1 2026	Trend
Revenue	US$10.7bn	US$9.7bn	US$5.2bn	Q3 liner rev. +45%
Operating profit	US$2.62bn	US$1.54bn	US$0.72bn	—
Operating margin	24.6%	15.9%	13.9%	—
Profit attributable	US$2.58bn	US$1.51bn	US$0.73bn	—
EPS	US$3.90	US$2.29	US$1.10	—
DPS	US$1.95	US$1.14	US$0.55 interim	payout ~50%
Net cash (cash − leases)	—	US$4.96bn	US$4.51bn	—

No numeric guidance. FCF after lease payments was about −US$0.69bn in 2025 and −US$0.35bn in H1 2026 (derived). Sources: OOIL annual report 2025 and interim report 2026.

What the bulls say, and what the evidence says

THE BULL ARGUMENT	WHAT THE EVIDENCE SAYS
“Net cash of US$4.5bn makes it safe”	Yard and charter commitments (~US$7.5bn) exceed net cash; FCF after leases was negative in 2025 and H1 2026.
“The dividend yield is attractive”	Dividends follow profits: US$10.56 per share in 2022, US$1.14 in 2025. A trailing yield overstates future income.
“Q3 2026 shows a new up-cycle”	The spike is geopolitical. Port fees on Chinese operators may return on 10 November 2026.

Base-case value HK$123.92 per share, −19% vs today

Method: P/E on normalised earnings

Scenario	Key inputs	Value / share	vs price
Bear	US$1.39 EPS × 7x Suez reopens fully; overcapacity	**HK$75.90**	**−50%**
Base	US$1.99 EPS × 8x Normalised earnings, normal multiple	**HK$123.92**	**−19%**
Bull	US$2.98 EPS × 9x Disruption persists; capacity absorbed	**HK$209.11**	**+36%**

For a liner, value the average year, not the last one. We average profit over 2019-2025 excluding the 2021-22 supercycle and the 2019 one-off gain (about US$1.3bn, or US$1.99 per share), then apply 7-9x and convert at HK$7.8 per US$.

Valuation range



Source: own valuation; 52-week range and consensus from third-party data (29 Oct 2026)

What could move the stock in the next 12-18 months

10 Nov 2026

US port fees on Chinese operators resume or are extended

10 Jan 2027

US-China truce expiry

Mid-Jan 2027

Q4 2026 operational update

Mar 2027

FY2026 results and new dividend policy for 2027+

Spring 2027

Trans-Pacific annual contract season

The number to watch: We would turn positive if the price fell below normalised value (about HK$124)

What would change our view

Risk	Mitigant
Disruption lasts longer (Hormuz, Cape routing)	Underweight, not short: we hold the model weight
Special dividend from the cash pile	Possible under the payout policy; would narrow the gap
COSCO-related capital allocation	Governance set by the parent; thin float
US-China policy swings	Fees and tariffs cut both ways

WE WOULD CHANGE OUR VIEW IF

- We would turn positive if the price fell below normalised value (about HK$124)
- Or if the orderbook were cut and the cash returned to shareholders
- Or if structural capacity discipline emerged across the industry

Sources

[O1] OOIL, *Announcement of Interim Results for the six months ended 30 June 2026*, HKEX, 27 Aug 2026

[O2] OOIL, *Annual Report 2025*: financial highlights, Chairman's statement, ship operations, dividend policy, 10-year summary, substantial shareholders. HKEX, 22 Apr 2026

[O3] OOIL, *2019 Annual Results Announcement*, HKEX, 20 Mar 2020

[O4] OOIL, *2022 Annual Results Announcement*, HKEX, 22 Mar 2023 (cross-check of 2021–22 profit)

[O5] OOIL, *2024 Annual Results Announcement*, HKEX, 13 Mar 2025 (not opened; 2023–24 figures taken from [O2])

[O6] Container News, "OOCL reports 45% revenue surge in third quarter of 2026", 9 Oct 2026

[O7] Tiger Brokers news, OOIL shares after the Q3 update, 12 Oct 2026

[O8] Container News, FY2025 results (13 Mar 2026) and H1 2026 results (28 Aug 2026)

[O9] Tiger Brokers news, "Faulkner sells 469 million shares to COSCO SHIP HOLD Hong Kong", 11 Dec 2025

[O10] Holland & Knight, "USTR Port Fee Suspension: What You Need to Know", 12 Nov 2025

[O11] FreightWaves, "No mention of U.S.-China ship taxes in trade truce", 28 Sep 2026

[O12] gCaptain / Bloomberg, "Asia-to-US container rates spike 109% since Iran war started", 6 Jun 2026

Portfolio Project pipeline: scores, multiples, weights and returns computed from Bloomberg data extracted on the SKEMA terminal (Oct 2026).

Disclosure: student research prepared for educational purposes and job interviews. It is not investment advice or a solicitation. Third-party market data (prices, consensus, forward multiples) is labelled and was accessed on 29 October 2026; third-party figures should be checked against company filings or a Bloomberg terminal before use. Backtest results are hypothetical.